Mansfield Municipal Electric Department
Operating Budget Fiscal Year 2026

I. Executive Summary:

The Mansfield Municipal Electric Department (MMED) is an electric utility governed under the provisions of Massachusetts General Laws Chapter 164. The four primary objectives of MMED are:

- Establish and work continually to ensure a safe environment for its employees
- Ensure short-term and long-term system reliability
- Provide competitive electric rates to its customers
- Provide economic benefits to the Town of Mansfield

HIGHLIGHTS:
Overall MMED is projecting to maintain a net neutral rate structure based on projections and current market conditions. Lower power expenses, higher kWh Sales, higher contractual payroll, and employee benefits are the major drivers for the FY2026 budget.

FY26 Operating Budget assumes the following revenue changes:

- *$1 Increase to monthly customer charge for Residential, Small Commercial and Municipal*
- *Increase Purchase Power and decrease Distribution Rates (Net neutral)*

Table 1: A comparison of the proposed FY26 to the FY25 approved budget:

FY26/FY25 Budget Comparison			
Description	FY25 FINAL Budget	FY26 Proposed Budget	Increase (Decrease)
Revenue	**$ 31,849,489**	**$ 32,600,012**	**$ 750,523**
Purchased Power Expense	$ 14,374,101	$ 14,160,518	$ (213,583)
Transmission Expense	5,975,869	5,953,110	(22,759)
Distribution	3,121,653	3,570,727	449,074
Customer Service	1,059,906	1,105,416	45,509
Administrative & General	1,361,059	1,473,159	112,101
Operating Non Power Expense	5,542,619	6,149,302	606,684
Total Before Depreciation	25,892,589	26,262,929	370,340
Depreciation	2,671,940	2,650,855	(21,085)
Discount/Rebate Less Other Income	1,685,914	1,762,549	76,635
Total Expenses (Net Other Income)	**30,250,442**	**30,676,333**	**425,891**
Net Income	**$ 1,599,046**	**$ 1,923,678**	**$ 324,632**
Misc Credits to Surplus	-	-	-
Payment In Lieu of Taxes	780,960	780,960	-
Increase to Surplus	**$818,086**	**$1,142,718**	**$ 324,632**
Rate of Return	**2.67%**	**3.10%**	**0.43%**

The FY26 Operating Budget represents the period from July 2025 through June 2026. The Massachusetts Department of Public Utilities (DPU) Uniform System of Accounts is the basis for the categorization of costs. Under Massachusetts General Laws, a municipal plant can earn up to 8% annually of the gross plant in service. MMED's retail rates are approved by the MMED Light Board Commission and revised periodically.

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Table 2: FY26 Statement of Income and Surplus

REVENUE:			EXPENSES:	
Residential Sales	$	12,051,652	**Power Production:**	**$14,160,518**
Small Commercial		1,873,123		
Medium General Service		6,308,632	**Transmission:**	**$ 5,953,110**
Large General Service		11,496,245		
Municipal Sales		1,206,632	Non Power Operating :	$ 6,149,302
Total Metered Sales:	**$**	**32,936,284**	Discounts/Rebates/Other	1,762,549
Rate Stabilization decrease	$	(336,273)	Depreciation	2,650,855
Total Power Revenue	**$**	**32,600,012**	**Total Expense:**	**$30,676,333**

Net Income	**$**	**1,923,678**
Misc. Surplus		0
In Lieu of Taxes		780,960
Net change Surplus:	**$**	**1,142,718**

Table 3: Summary of MMED's Energy Sales (kWh) CY 2019 - CY 2023

Calendar Year	*Energy Sales (kWh)*	*Increase (Decrease)*
2020	205,571,786	-0.09%
2021	217,137,920	5.54%
2022	228,500,548	11.15%
2023	212,738,769	-2.03%
2024	219,346,863	2.89%
5 year Average	216,659,177	1.34%

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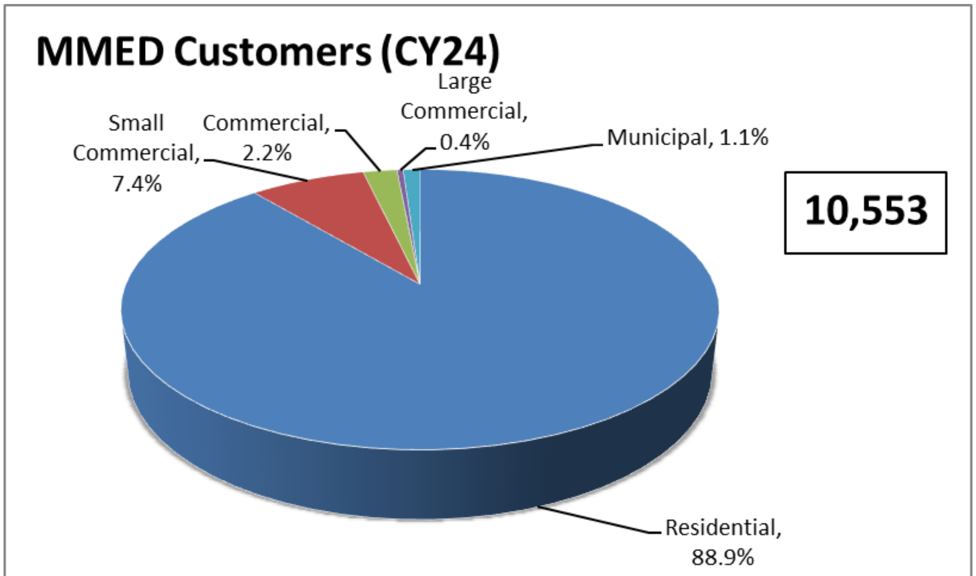
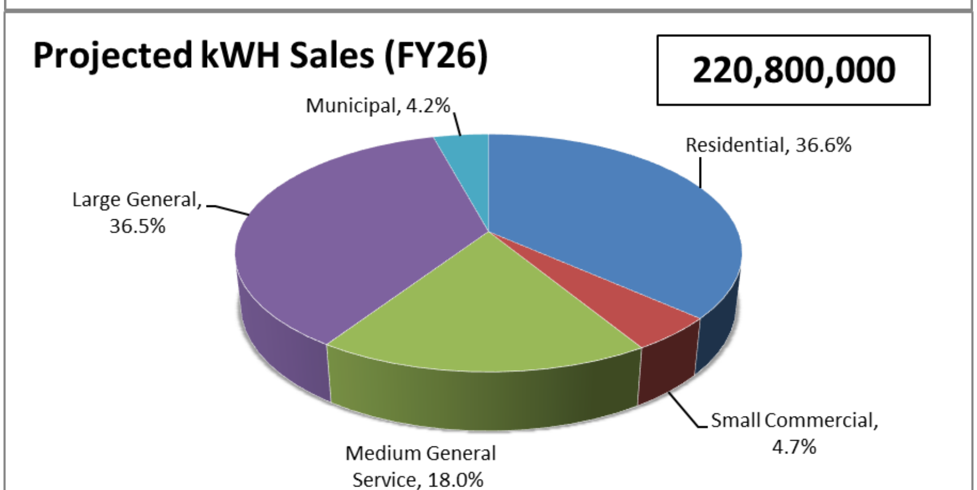
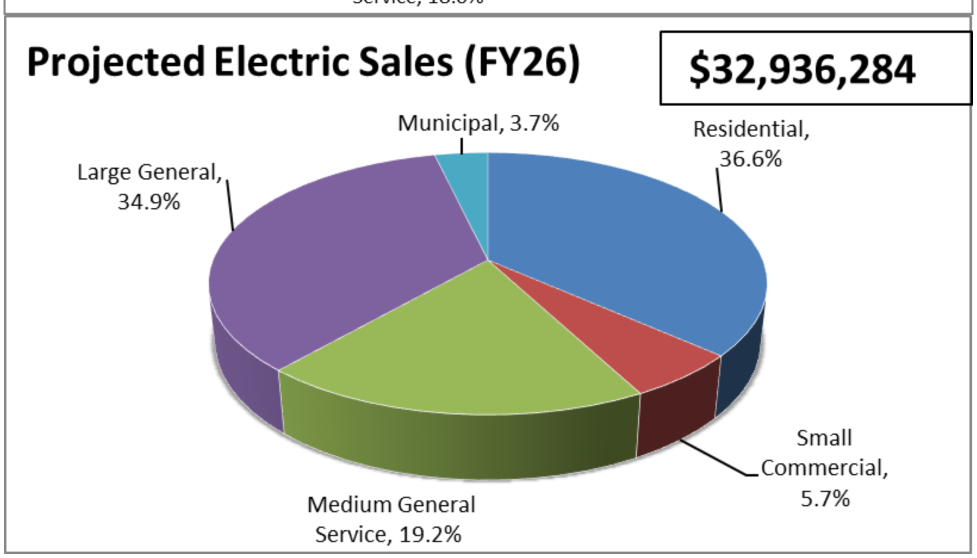
II. MMED Statistics:







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Electric sales revenues are comprised from the following charges:

Customer Charge:
A flat surcharge is apportioned to each customer category type which covers all standard MMED costs that exist to support the costs of meter reading, meter maintenance, customer service, billing and administrative needs.

Distribution Charge:
This rate is based upon the individual customer's energy consumption (kWh) each month and reflects the costs associated with delivering energy from the distribution substations to homes and businesses in Mansfield. This includes the cost of constructing and maintaining all local distribution electrical lines.

Purchase Power Charge:
This rate is based upon the individual customer's energy consumption (kWh) each month and reflects the costs associated with power production and transmission of energy to the Mansfield distribution substations.

> Mansfield power production resources vary from long-term joint ownership in various generation plants (Solar, Wind, Nuclear, Oil, & Natural Gas) through Massachusetts Municipal Wholesale Electric Company (MMWEC), along with other short-term hedges in the 'Spot Market' to cover open market positions.
>
> Such rate may be adjusted to reflect changes in market conditions (i.e. price of fuel, supply factors, etc.). The Purchase Power Charge varies with market conditions and can fluctuate significantly depending on the time of year.

Revenue projections are based on current commodity market pricing for future energy purchases during the FY26 period and are subject to change depending on market conditions at the time.

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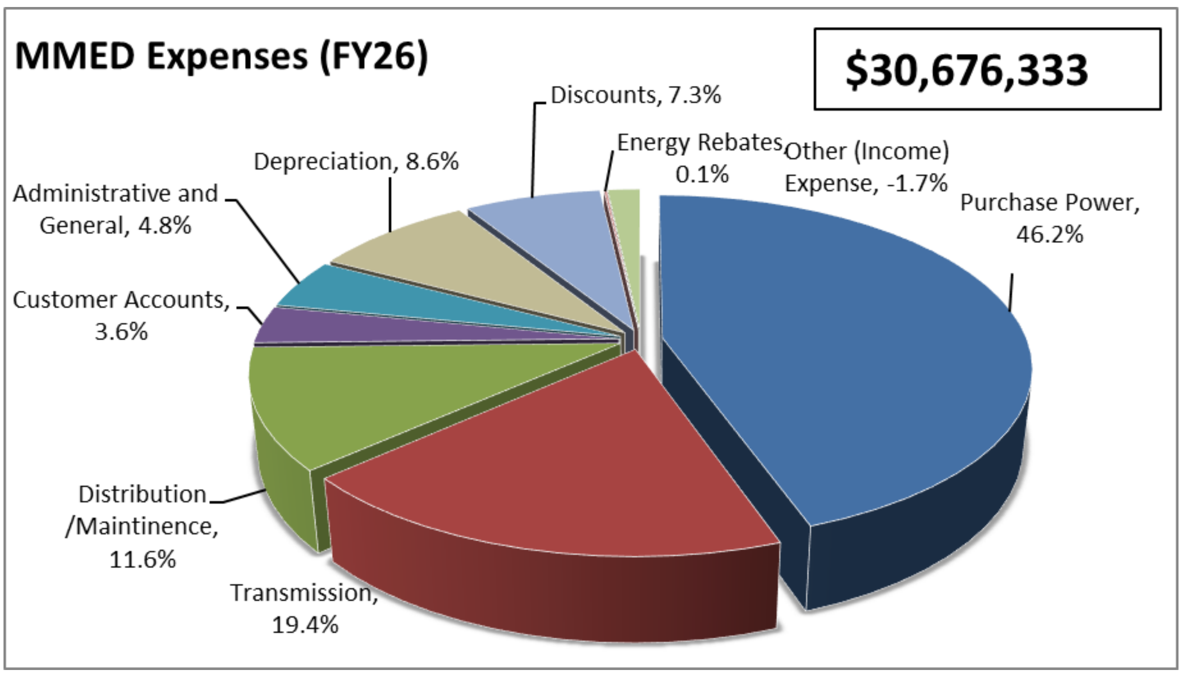
III. MMED Expenses:

Table 4: Major Expense Categories:

EXPENSES:		Amount	% Total
Total Power Expense	**$**	**20,113,628**	**65.6%**
Total Non-Power Operating Expense	**$**	**6,149,302**	**20.0%**
Discounts		2,247,549	7.3%
Energy Rebates		45,000	0.1%
Depreciation Expense		2,650,855	8.6%
Other Expenses	**$**	**4,943,404**	**16.1%**
TOTAL OPERATING EXPENSE	**$**	**31,206,333**	
Other (INCOME) EXPENSE	**$**	**(530,000)**	**-1.7%**
TOTAL EXPENSE	**$**	**30,676,333**	**100%**



Non-Power Expense (Payroll vs Non-Payroll)

		BUDGET 2025	BUDGET 2026	%
TOTAL Non-Power Expense	Total	$ 5,583,619	$ 6,149,302	10.1%
	Labor	$ 3,713,619	$ 3,976,678	7.1%
	Non-Labor	$ 1,870,000	$ 2,172,624	16.2%

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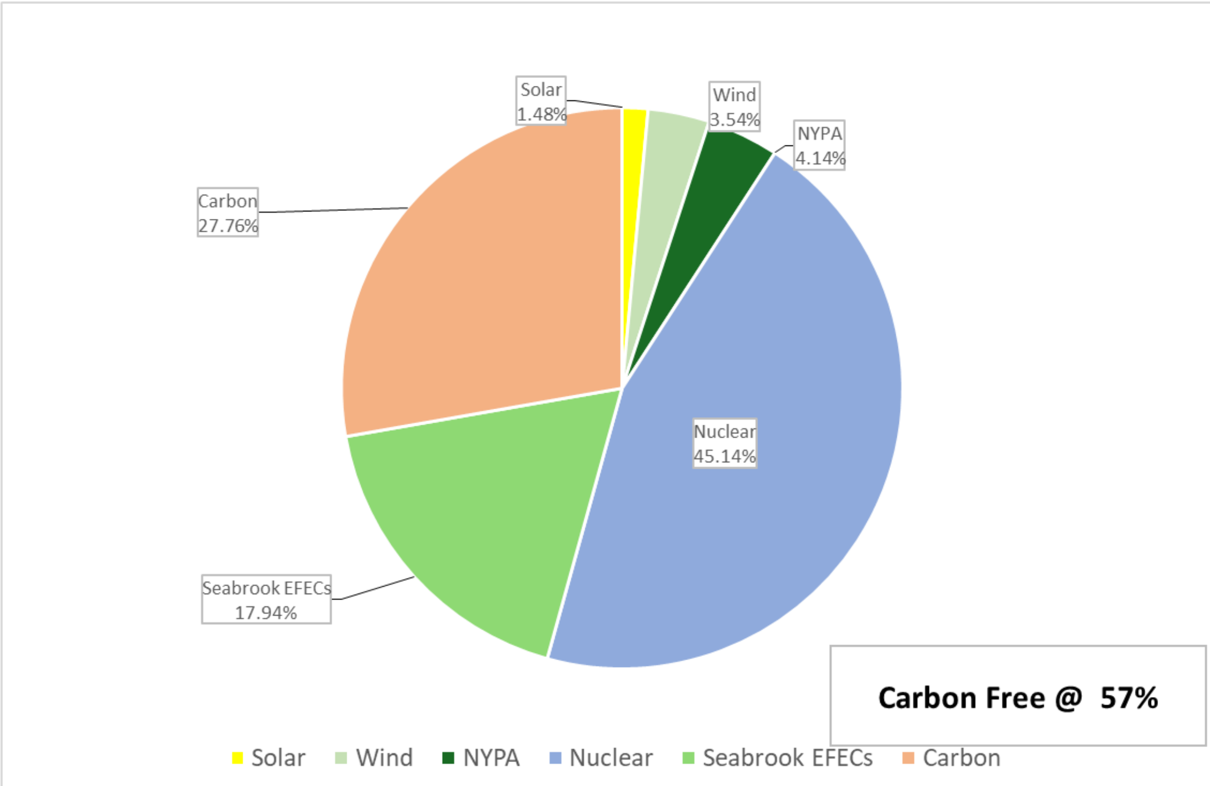
Generation Sources:



From those resources, there are five (4) main purchased power expenses:

1) MMWEC Project Expenses – MMED is a project participant in numerous Massachusetts Municipal Wholesale Electric Company (MMWEC) generation projects through Power Sales Agreements. As a project participant, MMED is required to pay its share of the fixed costs of the plants, which includes the debt service, as well as its prorated share of the operating costs associated with running the plants.

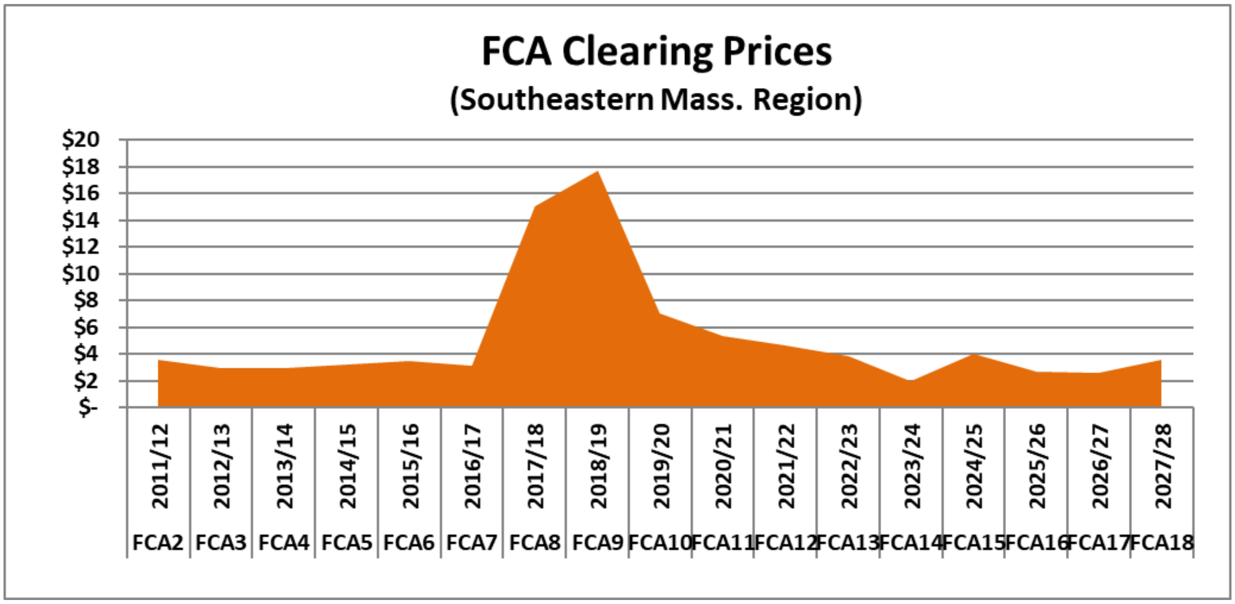
2) Hedged Energy – In 2017, MMED approved the process of purchasing power directly from the market based upon 'Price' and 'Time' triggers. When MMED is within short duration, the purchase is made to fill open positions (i.e. 'Time' trigger). When the price is attractive enough below the average market price, then the purchase is made to fill the future open position (i.e. 'Price' trigger).

   Under this process, MMED has contract with several suppliers covering portions of MMED's energy requirements for FY26 through FY30.

3) Forward Capacity: In its continuing efforts to reward existing generators and encourage new generators in specific areas where there are constraints, the ISO has a Forward Capacity

Market (FCM) to solicit bids through a Forward Capacity Auction (FCA) on an annual basis for a period 5 years in the future (the logic being it would take 5 years to build generation and the auction provides developers with the cash flow forecast for financing purposes). These monies are collected from service providers (like MMED) and are awarded to generators for being available to generate on demand and the costs are distributed to all customers on a kWh basis and built into the cost of power purchased in the market.

The chart (below) illustrates the impact of the FCM auctions on MMED ratepayers



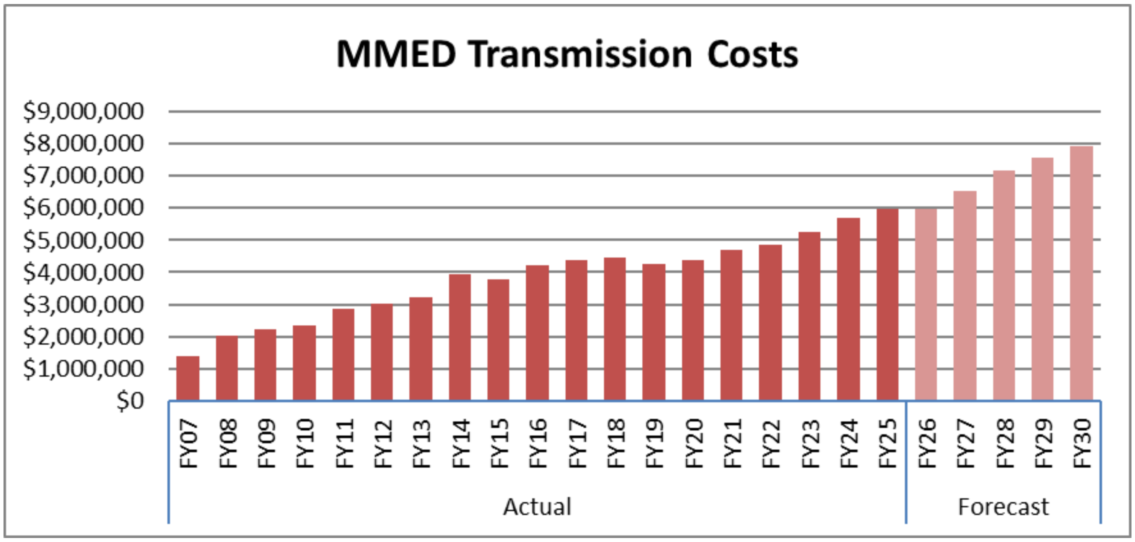
This shows the clearing prices from the previous (18) auctions already completed. The results show a steady rate of about $3.50 per kW per month through FCA 7 (2016-2017). In FCA 8, however, the price increased to $7.025 per kW per month. In FCA 9 the price skyrocketed to $11.80 for existing generators and to $17.73 for new generation in the MMED load zone. Following five consecutive decreases in the FCA clearing price to a low of $2.00 in FCA14, successive FC auctions have cleared in a range between $2.50 and $3.50. There are indications that prices are headed upward.

4) Spot Market Energy Purchases: To the extent that the sum of MMED's project entitlements and the hedge contracts either overstate or are deficient relative to MMED's actual hourly load, MMED is either a purchaser or seller into this market every hour. Approximately 28% of MMED's energy is projected to be purchased off the spot market in FY26, although this will most likely be reduced by additional hedging transactions pursuant to the Risk Management Policy.

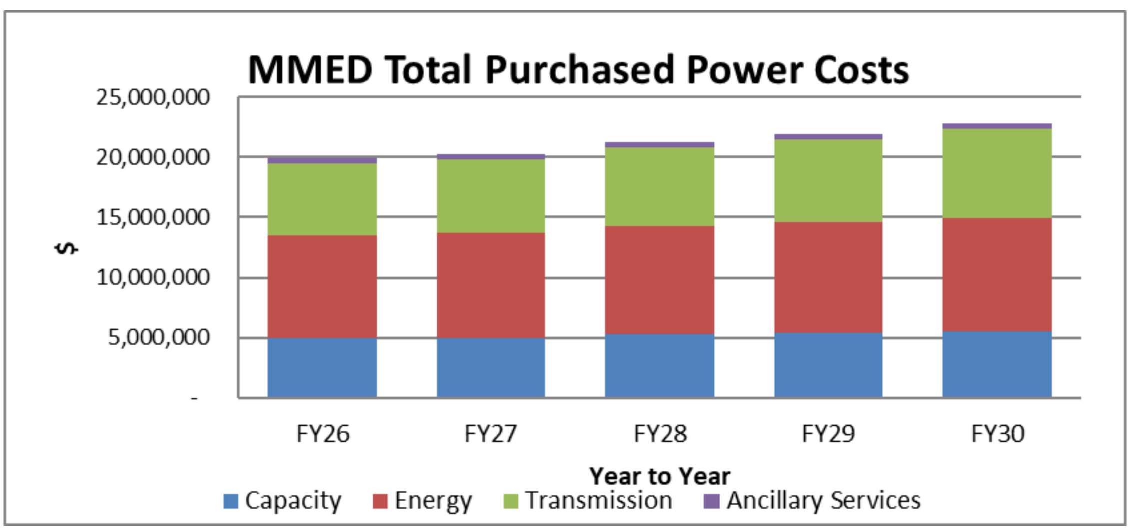
Transmission:

The cost of transmission services is associated with moving power across the regional transmission network from the sources that ISO New England uses to supply Mansfield's load. For FY26, MMED has budgeted $5,953,110 to cover its cost of transmission. The FY26 projected cost of transmission is estimated to be 0.4% less than the FY25 forecast despite increased loads because new transmission projects have been delayed and were not completed in time to be included in the FY26 rate.

MMED's cost per kWh for transmission is estimated at 2.86 cents in FY25. Since FY11 when the rate was 1.28 cents/kWh, the cost of transmission has increased about 115% based on the FY26 projection. The chart below shows both the actual and projected increases in Transmission costs.



Increases are being driven towards fewer generating facilities in New England to maximize the flexibility of the transmission grid, so system expansion is ongoing. Secondly, there continues to be a strong push for alternative energy sources at the federal and state levels, particularly construction of off shore wind energy facilities.



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Operating Expenses (Non-Power):

MMED identifies the following 5 classes of Non-power operating expenses;
(1) Distribution
(2) Customer Accounts
(3) Administrative
(4) Depreciation
(5) Discounts/Rebates and Other Expenses

Internal 'Payroll Allocations' are built within each of the identified categories above.

The proposed FY26 budget for Operating Expenses (Non-Power) represents a $565,683 increase from the approved FY25 budget or 10.1%. The increase is driven by increases in maintenance and employee related costs.

- *Payroll rates and Benefit expenses used in the FY26 budget reflect anticipated contractual increases for the AFSCME and IBEW units and expected increases to Medical and dental benefits and actuarial projections to fund OPEB and pension costs.*

1) Distribution Expenses:

The bulk of expenses in this category are those incurred by MMED for the operation and maintenance of its distribution system.

The total budgeted cost of distribution for FY26 is $3,570,727. This is an increase of $449,074 or 14.4% increase from the approved FY25 budget.

The increase in this account is primarily due to anticipated increases in payroll and benefits, tree trimming, and training costs for apprentice line crew.

2) Customer Account Expenses

All the costs associated with meter reading, customer service and the billing and collection of revenues fall under this category. These expenses are comprised of payroll for the Meter Operations, the Office Administrator and Financial Assistants and cash collection costs. The total budgeted cost of customer accounts for FY26 is $1,105,416. *This represents a $45,409 or 4.3% increase from the approved FY25 budget. The increase represents increased salaries and allocation of employee benefits.*

3) Administrative and General Expenses

The administrative and general (A&G) expenses cover management salaries, office supplies and expenses, consulting and legal costs, insurance, cost for vehicular maintenance, and other miscellaneous expenses. The total budgeted cost for A&G for FY26 is $1,473,159. *This represents an increase of $71,100 or 1.5% increase from the approved FY25 budget. The increase is primarily related to increases to salaries and allocation of employee benefits*

4) Depreciation

Under M.G.L. Chapter 164, Section 57, municipal light departments are required to set aside an amount each year for depreciation expense to be used solely for “repairs, extensions, reconstruction, enlargements and additions” to the physical plant. In this manner, the Legislature ensured that money would always be made available through the collection of rates for rebuilding the infrastructure of an electric utility.

Depreciation expense of $2,650,855 is budgeted to decrease by 0.8%, which is driven by lower actual capital spend in FY25. One-twelfth of this amount is transferred each month from operating cash to a segregated Depreciation Fund bank account and is drawn down on an as-needed basis to support capital improvement work.

5) Discounts/Rebates and Other Expenses

MMED offers a 20% discount on either the Distribution Charge or Distribution Demand Charge portion of the unbundled bill (depending on the class of customer) for prompt payment within 15 days of billing. The discount does not apply to the monthly Purchase Power Charge, Customer Charge or Hydropower Credit. The discount is not granted if the account is in arrears. MMED also offers alternate payment options such as credit card, direct debit, on-line internet bill payment and recurring credit card payment.

Discounts and other expenses of $1,762,549 or 7.2% increase from the FY25. Increase is driven by increased sales and increased interest income, offset partially by, higher participating customers in autopay program and Energy efficient Rebates such as Home weatherization, Appliance Rebates and EV chargers.

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PILOT:

FY26 MMED PILOT	
FY24 MMED Net Book Value(GAAP)	$33,738,841
times FY24 Comm Tax Rate	$20.05
Total rounded up to nearest $	$676,464
Additional Funds to Town	
2023	136,291
2024	131,976
2025	106,860
2026	104,496
ITD	**479,623**

Pilot Historical Trend	Calculated	Paid
2016	480,000	480,000
2017	648,648	648,648
2018	650,199	650,199
2019	727,925	727,925
2020	699,478	699,478
2021	745,030	745,030
2022	780,960	780,960
2023	644,669	780,960
2024	648,984	780,960
2025	674,100	780,960
2026	676,464	780,960
Annualized 10 Year Growth	4.1%	6.3%

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MMED Projected Net Income:

Based on projected revenues and anticipated operating expenses. *MMED forecasts a FY26 Net Income of $1,923,678. This represents a 3.1% rate of return on plant assets.* Shown below is the trending of Net Income since FY20.

Net Income FY20 – FY26B

Fiscal year	Net Income	Change from Prior Year Increase (Decrease)
FY20	1,829,200	1,635,868
FY21	1,760,863	(68,338)
FY22	1,554,185	(206,678)
FY23	1,089,835	(464,350)
FY24	1,986,693	896,858
FY25 Budget	1,599,046	(387,646)
FY26 Budget	1,923,678	324,632

MMED has been able to keep rates lower than national competitors, in large part because of its ownership in power plants and efficient management of operation expenses. The cost of power is lower in FY26 due to the decrease in natural gas prices and the ultimate effect on the cost of electric energy purchased on the spot market.

Net Income in the FY26 budget is $324,632 higher than the FY25 Net Income budget. The increased revenue sales are offset by increased estimated salary and benefits. The FY26 Income (increase to surplus) after Pilot payment is $1,142,718.

MMED has strengthened its operating and capital reserve cash. MMED will not need to engage in borrowing as Operating Cash is currently at a level to cover planned capital improvements.

IV. MMED Budget Assumptions & Risks

Key assumptions used when compiling the FY26 capital and operating budgets are:

1) Risks: Due to economic inflation, open market fuel prices, and there are unknown variables that may impact results. Other contributory factors include
   a. Dramatic change in Load Shape
   b. Decline in Collection Trends
   c. New Regulatory Requirements

2) Payroll rates used for this budget are based on estimated salary information for FY26.

3) The cost of benefits was based on projected annual benefit costs for employees.

4) Net electric rates are assumed flat compared to FY25 but due to volatility in the market it may not represent the actual incurred.

5) Depreciation expense is based on estimated net plant levels at 12/31/24. A regulatory accounting method of a 20-year life for all assets was used in calculating depreciation.

6) Payroll amounts used in the operating budget were based on total hours estimated to be worked by each of MMED'S (22) employees less hours spent on capital improvements.

7) Interest income accrues on specific MMED accounts: Operating, Depreciation Fund, Guaranteed Deposits and the MMWEC Reserve Trust fund.

8) Non-Power operating costs are budgeted evenly for each month during FY26, whereas projected purchased power expenses, transmission expenses and revenues are individually calculated monthly.

Conclusion

MMED's budget is an accurate estimate of operations and maintenance expenses for FY26 and is consistent with the long-term goals established by the Electric Commission.